

Paramount Resources Ltd.

HOLD | Target C\$33.00 | TSX: POU | Last C\$32.65

25 August 2026

Recommendation	HOLD
Target price	C\$33.00
Current price	C\$32.65
Implied return	+1%
Market capitalisation	C\$4,760mm
Enterprise value	C\$4,223mm
Shares outstanding	145.8mm
Net cash	C\$329mm (no long-term debt)
2026E production	52,100 Boe/d (49% liquids)
2030E production	c. 124,000 Boe/d (32% liquids)
2P reserves	522 MMBoe

This note is a hypothetical analytical exercise prepared for illustrative purposes. It is not investment advice and not a recommendation to buy or sell any security. The author holds no position.

1. Investment summary

Paramount Resources is fairly valued. Three independent valuation methods — a bottom-up sum-of-the-parts net asset value, trading comparables, and control transactions in the same basin — land within 9% of one another and within 9% of the share price. That convergence is unusual, and it is the central finding of this note.

I initiate with a HOLD and a target of C\$33.00, derived from a 60/40 weighting of NAV (C\$31.65) and comparables (C\$35.55).

The more useful observation is *what* the market is pricing. At C\$32.65, Paramount's valuation is consistent with WTI at roughly US\$85 per barrel sustained indefinitely, combined with a 70% probability-weighting on Sinclair being delivered as planned. WTI currently trades near US\$86, but that price contains a substantial geopolitical risk premium arising from the US–Iran conflict and disruption around the Strait of Hormuz, and the futures curve is in backwardation — the market itself expects prices to fall. **The share price embeds a commodity assumption that the commodity market does not share.**

That asymmetry is the reason for a HOLD rather than a BUY, and it is why I regard the risk as skewed modestly to the downside. At a US\$70 WTI mid-cycle price, my NAV falls to approximately C\$26 per share, roughly 20% below the current quote. At US\$85 sustained, NAV is approximately C\$32 — fair. The upside case requires the geopolitical premium to persist, which is a view about the Middle East rather than about Paramount.

Four things distinguish this company and are developed in the sections that follow.

The outspend is construction, not structure. Paramount has generated negative free cash flow for six consecutive quarters and will consume roughly C\$695mm of liquidity through 2027. That appears alarming until it is decomposed. My well-level analysis indicates that once Willesden Green reaches its stated 50,000 Boe/d plateau, sustaining it requires approximately 16 wells per year at C\$210mm against C\$803mm of field netback — maintenance capital of 26% of cash flow. The current outspend is the Alhambra and Sinclair build-outs, which are finite.

Volume growth and value growth are not the same thing. Production roughly doubles by 2030, but the incremental barrels are Sinclair dry gas. Liquids weighting falls from 49% to 32% and netback per Boe falls from approximately C\$38 to C\$30 on my base case. Shell's disclosure on the ARC Resources acquisition makes the same point from the buy side: around 40% of ARC's production was liquids, and those liquids generated around 70% of revenue. Headline Boe/d figures systematically flatter gas-weighted growth.

The reserve book is the value, not the production. Paramount trades at a 50% premium to the Shell/ARC transaction on enterprise value per flowing barrel, and simultaneously at a 26% discount on enterprise value per 2P barrel. Both are true. You are paying a premium for barrels that exist in the reserve report but are not yet flowing.

The peer group is disappearing. ARC Resources agreed to be acquired by Shell in April 2026 for approximately C\$22 billion, and Ovintiv closed its acquisition of NuVista in February 2026 for approximately C\$3.8 billion. Two of Paramount's closest comparables were removed from the public market within four months. Scarcity value accrues to the remaining independent Montney and Duvernay operators with owned infrastructure and long inventory.

2. The company today

Paramount is not the company it was two years ago, and historical comparisons are misleading unless that is stated explicitly.

In January 2025 the company closed the sale of its Karr, Wapiti and Zama assets for C\$3.243 billion. Those properties contributed 67,323 Boe/d in 2024 and one month's production in 2025. The proceeds extinguished all long-term debt and left the company with net cash. Paramount then redeployed capital into two build-outs: the Willesden Green Duvernay in central Alberta, and the Sinclair Montney in the Alberta Deep Basin.

The effect is that fiscal 2025 average production of 42,238 Boe/d sits *below* its own fourth quarter of 46,973 Boe/d. Production collapsed when the sold assets departed

in February, then climbed steadily as Willesden Green filled the Alhambra facility. Any growth rate calculated across 2024 and 2025 measures a corporate transaction rather than operational performance.

What Paramount is now: a company that sold its mature cash-generating base and is spending the proceeds, plus more, to build two new ones. That is a defensible strategy. It is also a materially different risk profile from the one implied by its multi-decade operating history.

Capital structure and control. Paramount holds C\$449mm of cash, zero long-term debt, and C\$750mm of undrawn facilities comprising a C\$500mm revolver maturing December 2029 and a C\$250mm Export Development Canada delayed-draw term loan. Total liquidity is approximately C\$1.2 billion.

The Riddell family holds approximately 53.6% of shares outstanding across three related holders, with institutions at approximately 8%. This is a controlled company. Any change-of-control transaction requires family consent, and a related-party rollover would trigger a formal valuation and majority-of-the-minority approval under Canadian MI 61-101. Investors should price Paramount as a standalone business rather than a takeover candidate, notwithstanding the consolidation occurring around it.

3. Asset analysis

3.1 Willesden Green Duvernay — the asset that matters

Willesden Green produced 27,466 Boe/d in the second quarter of 2026 at approximately 55% liquids, up from roughly 7,000 Boe/d in January 2025. The company holds over 350,000 net acres and owns its processing: the Alhambra facility, at 20,000 Bbl/d of liquids and 100 MMcf/d of raw gas following the phase two expansion, plus the Leafland plant at 6,000 Bbl/d and 22 MMcf/d. A phase three expansion adding 50 MMcf/d and 10,000 Bbl/d could be sanctioned as early as the fourth quarter of 2026.

Owned infrastructure is the source of the cost advantage. Willesden Green operating expense was C\$4.71 per Boe in the fourth quarter of 2025 against a corporate average of C\$8.66 in the second quarter of 2026. Corporate operating cost has now declined for five consecutive quarters as fixed facility costs spread across rising volume.

On my analysis this asset represents 83% of Paramount's gross asset value. That is worth stating plainly, because market commentary is dominated by Sinclair.

3.2 Sinclair Montney — the option everyone discusses

Sinclair covers over 170,000 net acres with a plant designed for 400 MMcf/d of raw gas and 335 MMcf/d of firm egress contracted from the fourth quarter of 2027. Disclosed test rates of 34 MMcf/d from the upper bench and 25 MMcf/d from the lower bench are, on the company's account, the highest publicly recorded in the Alberta Montney.

The commercial reality is more sober than the test rates suggest. Sinclair is dry gas. At my base case of C\$4.33 per Mcf realised, I model a netback of approximately C\$22 per Boe against C\$50 per Boe at Willesden Green. The project requires roughly C\$800mm of remaining construction capital and, on a risk basis, contributes approximately C\$798mm to net asset value — a project that roughly returns its capital rather than transforming the company.

Sinclair is 17% of gross asset value on my numbers. It is genuine optionality on higher gas prices, particularly with LNG Canada demand building, but it is not the reason to own the stock at the current price.

3.3 Kaybob and the land bank

Kaybob produced 19,413 Boe/d at approximately 40% liquids and is guided at 19,000 to 20,000 Boe/d through 2028. I treat it as a declining annuity net of maintenance capital, contributing approximately C\$535mm.

Paramount holds 3.05 million net acres in total, of which 2.35 million carry no reserves — heavy oil acreage, Horn River Muskwa, Liard Besa River, and Northwest Territories land. I mark this at C\$150 per acre for approximately C\$352mm. **This is the weakest input in my valuation.** Frontier acreage may be worth nothing at current prices. Readers who disagree should note that removing it entirely reduces my NAV by C\$2.42 per share.

4. Well economics

This section carries the most analytical weight in the note, because it is where a bottom-up view can be formed rather than borrowed from the reserve report.

4.1 Method

Paramount does not publish well-level production time series, so this is a calibration rather than a regression. I parameterise Arps hyperbolic decline —

$$q(t) = q_i / (1 + bD_it)^{1/b}$$

— with informative priors on the hyperbolic exponent b (1.10) and nominal initial decline D_i (2.20 per year), then solve for the initial rate q_i that reproduces the company's disclosed 210-day rate of 1,240 Boe/d across 16 wells. A terminal exponential decline of 8% per year is imposed, without which cumulative recovery diverges for $b \geq 1$. Uncertainty is propagated through 8,000 Monte Carlo paths with correlated commodity draws, lognormal well-quality dispersion and a Beta-distributed uptime factor.

Analysts with access to monthly well data from the Alberta Energy Regulator or Petrinex should estimate b and D_i by nonlinear least squares rather than assuming them. That is the appropriate upgrade to this work.

4.2 Results and the validation that matters

Calibration yields an initial rate of 1,898 Boe/d and a 30-year estimated ultimate recovery of 1,441 MBoe.

The result I place most weight on is a cross-check rather than an output. Given the calibrated decline curve, I solved for the well cost implied by Paramount's disclosure that 13 of 16 wells paid out in approximately eight months. That implied cost is C\$13.9mm, against C\$13.0mm assumed independently from typical Duvernay drilling and completion costs — a 7% gap. Two independent routes converge, which suggests the decline parameters and the disclosed payout describe a coherent system.

Full-cycle economics, adding C\$5mm per well of allocated facility capital, give an NPV at a 10% discount rate of C\$23.5mm per well with a 12-month payout. These are the figures I would quote. Half-cycle economics, which exclude the Alhambra plant without which no well can flow, produce an NPV of C\$28.0mm and an IRR above 300% — arithmetically correct and analytically meaningless.

Probabilistic outcomes on a half-cycle basis:

	P90 (low)	P50	P10 (high)
EUR (MBoe)	910	1,376	2,055
NPV10 (C\$mm)	8.5	21.3	40.6
Payout (months)	5	10	22

Sensitivity analysis ranks well quality first, WTI second, and execution or uptime third. Well cost barely registers. The practical implication is that diligence should concentrate on rock quality and plant reliability rather than on drilling cost.

Caveat. The modelled probability of a value-negative well is under 1%, which is too favourable. I model parameter uncertainty, not scenario uncertainty — plant outages, egress interruptions and geological surprises are not represented. The anchors also come from wells the company chose to publicise, which is a selection-biased sample.

4.3 The finding that reframes the financials

Simulating a constant annual drilling programme and summing the declining contribution of each vintage, sustaining a 50,000 Boe/d plateau requires approximately **16 wells per year at C\$210mm**, against approximately **C\$803mm of annual netback** at plateau — maintenance capital of **26% of field cash flow**.

Against Paramount's C\$630mm 2026 Willesden Green budget, the picture inverts. The company is not structurally cash-hungry; it is mid-construction. This distinction cannot be drawn from a top-down corporate model and is, in my view, the strongest argument in the bull case.

One qualification: the well count assumes no well-to-well interference. Parent-child depletion effects are an active issue in the Duvernay, so 16 wells per year should be treated as a floor.

5. Financial outlook

My base case assumes WTI declining from US\$80 in 2026 to US\$70 by 2029 as the geopolitical premium unwinds, with AECO rising from C\$2.40 to C\$3.40 per GJ on LNG-driven demand.

	2026E	2027E	2028E	2029E	2030E
Production (Boe/d)	52,000	63,400	111,350	122,300	123,800
Liquids %	49%	49%	35%	33%	32%
Netback (C\$/Boe)	38	36	31	30	30
Capital expenditure (C\$mm)	1,050	1,000	800	700	700
Free cash flow (C\$mm)	negative	negative	positive	positive	positive

Two features deserve emphasis.

Netback compresses as volume expands. This is the arithmetic of the 6:1 conversion. Six Mcf of gas holds the same energy as one barrel of oil but sells for roughly a fifth as much at current prices. Sinclair barrels count fully in the production headline and partially in the revenue.

The bear case is where the thesis is tested. At WTI of US\$58 and AECO of C\$2.10 by 2030, free cash flow remains negative throughout and net debt reaches approximately C\$730mm — against C\$750mm of undrawn facilities. Paramount does not become insolvent, but it exhausts its liquidity precisely when Sinclair requires funding. In that scenario the equity depends on capital markets access rather than on operations. Investors should size positions with that in mind.

Hedging is thin. Paramount has 7,000 Bbl/d of WTI swapped at C\$109.19 through December 2026 and 6,000 Bbl/d at C\$100.34 through 2027 — coverage that falls sharply as a share of production while volumes double. There is **no flat-price natural gas hedge**. The Citygate/Malin contract is a basis swap protecting a regional differential, not the price level. Sinclair therefore reaches first production into a completely unhedged gas market.

6. Valuation

6.1 Net asset value

I value each asset separately using closed-form annuity mathematics: Willesden Green as a declining producing base plus the present value of a 20-year drilling programme valued off the type curve above; Sinclair as a delayed plateau annuity net of construction capital and multiplied by a 70% execution risk factor; Kaybob as a declining annuity; land at a per-acre mark. Corporate overhead is capitalised as a perpetuity and long-dated abandonment is deducted — both are frequently omitted, and both matter.

Component	C\$mm	C\$/share
Willesden Green	3,848	26.39
Sinclair (risked)	798	5.47
Kaybob	535	3.67
Undeveloped land	352	2.42
Corporate overhead	(600)	(4.12)
Abandonment	(300)	(2.06)
Gross asset value	4,633	31.78
Tax drag	(556)	(3.81)
Net cash and investments	537	3.68
Net asset value	4,614	31.65

Sensitivity is dominated by commodity price rather than project execution. A US\$10 move in WTI shifts NAV by approximately C\$5 per share; moving the Sinclair risk factor across its full plausible range from 50% to 90% shifts NAV by under C\$2. **This is a commodity price bet presented as a project execution bet.**

6.2 Comparables

	EV/AFF	EV per flowing Boe/d	EV per 2P Boe
Paramount	6.0x	C\$89,327	C\$8.10
Peer median	5.8x	C\$35,725	n/a
Shell / ARC Resources (Apr 2026)	—	C\$59,459	C\$11.00

The Shell/ARC transaction is the most instructive benchmark: same basin, same year, a control transaction at a 27% premium, covering 370,000 Boe/d and 2 billion Boe of 2P reserves for approximately C\$22 billion.

Paramount trades at a 50% premium to that deal per flowing barrel and a 26% discount per 2P barrel. The reconciliation is that production is about to double while the reserve book already contains the barrels. The premium on flowing production is a premium on timing.

The peer comparison on flowing barrels is less meaningful than it appears, since Tourmaline, Peyto and Birchcliff are far gassier and command lower per-barrel values for that reason.

6.3 Triangulation

Method	C\$/share	vs market
Sum-of-the-parts NAV	31.65	-3%
Comparables median	35.55	+9%
Market price	32.65	—

Target price C\$33.00, weighting NAV at 60% and comparables at 40%. I weight NAV more heavily because it is built bottom-up from well economics I have tested, whereas the comparable set is small, gassier than Paramount and shrinking.

7. Risks

Commodity price is the dominant risk. WTI near US\$86 reflects a geopolitical premium that may unwind quickly. At US\$70, NAV is approximately C\$26.

Single-asset concentration at Sinclair. All output flows through one plant. Delay, cost overrun or a weak gas price at start-up each impair the project, and the second and third can occur together.

Egress. Firm capacity of 335 MMcf/d caps Sinclair near 56,000 Boe/d regardless of deliverability. The resource is larger than the pipe.

Royalty step-up. Alberta's Modern Royalty Framework applies a low flat rate to new wells until drilling and completion costs are recovered, after which rates rise materially. Paramount's 5.4% effective rate in the second quarter of 2026 is unsustainably low and I model it rising toward 8.5%. Models that hold royalties flat overstate cash flow.

Short producing reserve life. Proved developed producing reserve life index is 4.5 years. This company must keep drilling.

Thin proved recycle ratio. The 2025 recycle ratio was 1.2x on a proved basis against 2.5x on a proved-plus-probable basis. The favourable figure depends on undeveloped locations being converted, which is a forward assumption rather than a historical result.

Controlled company. Family control at 53.6% limits minority influence and effectively removes takeover optionality.

Liquidity in a downside case. Discussed in section 5.

8. What would change my view

To BUY: - Alhambra phase three sanctioned with capital efficiency consistent with observed well results - Willesden Green well performance sustained beyond 300 days, confirming type-curve durability rather than choked early rates - A material flat-price gas hedge placed ahead of Sinclair start-up - Share price below approximately C\$27, which would price a US\$70 mid-cycle WTI

To SELL: - WTI sustained below US\$65 without a corresponding capital programme reduction - Sinclair start-up delayed beyond mid-2028 or capital cost exceeding guidance by more than 20% - Net debt approaching C\$600mm with facilities undrawn capacity below C\$250mm - Willesden Green wells declining materially faster than the calibrated type curve

9. Methodology and sources

All figures derive from public disclosure: Paramount's second-quarter 2026 results (6 August 2026), fourth-quarter and annual 2025 results (3 March 2026), the 2025 Annual Information Form including the McDaniel & Associates reserve report effective 31 December 2025, and filings on SEDAR+. Transaction data is from acquirer and target announcements. Market data is as at 21 August 2026 and requires refreshing before use.

Supporting analysis comprises five linked models: a data book reconciling all reported figures, a five-year operating model with three price scenarios, the type-curve and Monte Carlo module described in section 4, the sum-of-the-parts NAV, and the comparables analysis. All are available on request.

Known limitations. Peer share prices, share counts and net debt are estimates requiring verification. Peer 2P reserves are not populated. Tax pools remaining from the Grande Prairie disposition are approximated by a single effective drag rather than scheduled explicitly. Land value is a judgement rather than an observation. The type curve is calibrated to disclosed anchors rather than fitted to well-level data.

Prepared as an independent analytical exercise. Not investment advice.